Chapter # 1

=> The word Entrepreneurship is derived from french verb "entreprendre" which means " to undertake" or " to embark on a venture".

Definition:

- The word entre, meaning " between ~~earlier~~ and prendre, meaning " to take".
- The word was originally used to describe people who "take on the risk" between, buyers and sellers.
- According to (Fred wilson):
  " Entrepreneurship is the art of turning an idea into a business."
- Entrepreneurship is the process of Creating something new through Commiting resources and enduring risks inorder to achieve rewards.

=> The activity of setting up a business or businesses, taking on financial risks in the hope of profit. Entrepreneurship is a process of finding solutions to problems.

=> it is all about doing your own business.

=> " Entrepreneur is a person who sets up a business."

=> Entrepreneurship is not all about doing business for profit, it is a great source of creating jobs for work force in the economy.

What Entrepreneurs DO?

o Entrepreneurs assemble and then integrate all the resources needed - the money, the people, the business model, the strategy - needed to transform an invention or an idea into a viable business.

=> Entrepreneurship is an emerging discipline and process of creating your own ventures and it is an attitude and behavior.

Who is an enterpreneur?

=> Individual who takes risks and starts something new.

=> Someone who starts a business:

They are the ones who come up with the idea for a new company.

Takes risks:

=> Entrepreneurs often invest their own money and time into their business, even though there's a chance it might not succeed.

Makes decisions:

=> They are incharge and decide how the business will run.

Finds Opportunities:

=> Entrepreneurs are always looking for ways to make their business better or to start new ones.

"The true entrepreneur is a doer, not a dreamer."

Creates jobs:

=> When their business grows, they often hire people to help run it.

Can be anyone:

=> Entrepreneurs come from all walks of life and can start businesses in any industry.

=> Entrepreneurs so smart, supper intelligent, super genius, innovative, risk lover.

=> Entrepreneur is the person who is a solution provider.

" Don't hire the most qualified, hire the craziest " Jack maa

Enterprise:

=> Willingness to undertake new ventures or initiative.

=> Willingness to discover non-routine actions in a dynamic way.

History of Entrepreneurship

=> The enterprising nature of mankind is atleast as old as the existence of mankind himself.

Hunter Gathers:

=> In the early ages of existence human being were hunter gathers

- Living in jungles
- Moving around a family
- Fighting against nature for Survival
- Reliance on hunting skills

Enterprising people Contributions:

- Fire
- Tool making
- Farming
- Food storing
- Tribes

=> Farming was the big economic / green revolution.

=> Mankind moved from the era of hunter gathers to agriculture Societies.

Merchant Entrepreneurs:
- The Great Silk Road

Steam engines
- Steam engine: the beginning of industrial revolution.
- Industrial revolution is also known as era of manufacturing.
- Era of establishment of big business units.
- Era of craft production to mass production.

20th Century:

Post-world war II:

Digital age:

> Entrepreneurship originated from the science of economics but it is multidisciplinary.

=> Entrepreneurship developed in many subfields with several disciplines such as management/business administration, sociology, psychology, culture, marketing, finance, and geography so it is called as interdisciplinary.

Pioneers of the field:
Cantillon 17th Century
According to Cantillon:
". Entrepreneur is person with foresight and confidence, operate in a condition where the cost may be unknown but rewards are uncertain."
Jean-Baptiste was the second author to takes an interest in entrepreneurs
Schumpeter:
↳ Creative destruction.
=> He stated that the "entrepreneur" as the prime agent of change.

Entrepreneurship involves four aspects:

⇒ Entrepreneurship involves four aspects:

1) it involves the creation process.
2) it requires the devotion of the necessary time and effort.
3) it involves assuming the necessary risks.
4) The rewards of being an entrepreneur are independence, personal satisfaction and monetary reward.

Nature and development of entrepreneurship:

Entrepreneur:

⇒ An individual who takes initiative to bundle resources in innovative ways and is willing to bear the risk and/or uncertainty to act.

Being an entrepreneur today:

- Involves creation process
- Requires devotion of time and effort.
- Involves rewards of being an entrepreneur
- Requires assumption of necessary risks

Entrepreneurial action-

- Behavior in response to a judgmental decision under uncertainty about a possible opportunity for profit.

Q. Explain the entrepreneurial process?

=> The entrepreneurship is a continuous process that needs to be followed by an entrepreneur to plan and launch the new ventures more efficiently.

=> It refers to the sequence of steps and activities involved in starting and managing a new venture.

=> It is a long-term process and requires:

- Hard and smart work
- Personal commitment
- Consistency and persistence

=> The entrepreneurial traits help the entrepreneurial process.

The entrepreneurial traits		The entrepreneurial Process
Knowledge and inspiration	→	idea
Dream Desire Inventiveness	→	venture development
Determination trail and error	→	venture development
Productivity and efficiency		
Leadship Networking	→	Sustainability & growth

=> The entrepreneurial process is a set of stages and events that follow one another.

Decision to become entrepreneur — ◦ Personal preference and dreams

→ Developing Business idea — ◦ Opportunity seeking, confidence

→ idea to venture establishment — ◦ Execution stage

→ managing & growing firm. — ◦ Business suitability

Self-discovery
↓
identifying opportunities
↓
Generating and evaluating ideas
↓
Planning
↓
Raising start-up capital
↓
Start up
↓
Growth → Harvest

(i) Self-discovery:

- under this, entrepreneur assesses what are his strengths and weaknesses, what all he enjoys doing and his work experience.

(ii) Identifying opportunities:

- He tries to find out what people need, want and what problems and challenges people are facing.
- So, that he can find creative and innovative solution for it.
- Identify ~~ideas~~ease of innovation and improvement.

(iii) Generating ideas:

- Through discussions, creativity, past experience, entrepreneurs tries to develop new ideas to solve the problems and meet expectation of customers.
- Once an opportunity is identified, entrepreneurs brainstorm and generate ideas for potential business venture
- Generate innovative solutions to identified opportunities.

iv) Feasibility Analysis:

- Assess market demand and Competition.
- Evaluate resource requirements and risks.
- Determine the viability of each idea.

(v) Business planning:

- Develop a detailed business plan.
- outline goals, target market, and value proposition.
- Define marketing, operational and financial strategies.
- Entrepreneurs conducts research make business plans, strategies and feasibility reports.

(vi) Resource acquisition:

- By using his business plan, he tries to attract venture capital, partners and investors.
- Secure funding from investors and loans.
- Build partnerships and alliances.

- Hire talent and acquire necessary resources.

(vii) Start-up/execution:

- Entrepreneur launches his enterprise and tries to develop more customers.
- Implement strategies outlined in the business plan.
- Develop the product or service.
- Launch marketing and sales initiatives.

(viii) Growth and Adaption:

- Tries to expand and grow enterprise by timely ~~exp~~ scanning business environment adopting new technology, new strategy etc.
- Scale the business to meet demand
- Adapt to changing market conditions.

managing challenges:

- Overcome funding constraints and regulatory hurdles.
- Address competition and market fluctuations.
- Solve operational and logistical challenges.

Evaluation and reflection:

- Entrepreneurs continually evaluate the performance of their venture and reflect on lessons learned.
- This involves:
  - Tracking key metrics
  - Analyzing successes and failures
  - making adjustments to strategies and plans as needed.

Exit strategy / harvest:

- It means selling the business and harvesting the reward.
- many entrepreneurs sell their existing business and start a new venture.
- Consider options for exiting the venture.
- Sell the business, merge or go public.
- Maximize value and pursue new opportunities.

Aspects of the entrepreneurial process:

Identify and evaluate the opportunity:

- Opportunity assessment
- Creation and length of opportunity
- Real and perceived value of opportunity.
- Risk and returns of opportunity
- Opportunity vs personal skills and goals
- Competitive environment.

Idea:

- is a concept for a product or service that does not exist or currently available in a market niche.
- it may be a brand-new concept or an improvement of a current product or service.

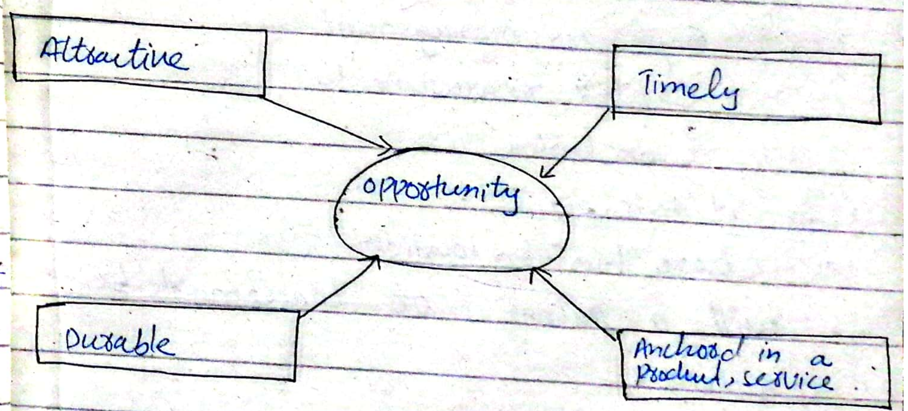
Opportunity:

- is an idea for a new product or service with a market that is willing to pay for that product or service so that it can form the basis of a profitable business.

Innovation:

- is the process of making changes to something adds value to customers.

An opportunity has four essential qualities:



Three ways to identify an opportunity:

- Observing trends
- Solving a problem
- Finding Gaps in the marketplace.

CamScanner

Business plans

Important components of business plans

- o Executive Summary
- o Mission
- o Company overview
- o Product
- o The market
- o Marketing plan, organizational plan, Financial Plan
- o Competition / Competitors
- o Risk / Opportunity
- o Employees management
- o Capital requirements
- o Conclusion

Concept developments

- Choose business location
- will a patent or trademark be required.

Trademark:

A trademark is a word, phrase, symbol or design or a combination of words, phrases, symbols or designs, that identifies and distinguishes the source of the goods of one party from those of others.

Copyright:

- Protects works of authorship, such as writings, music, and works of art that have been tangibly expressed.

Patent:

- A patent for an invention is the grant of a property right to the inventor, issued by the patent and Trademark office.

Resourcings

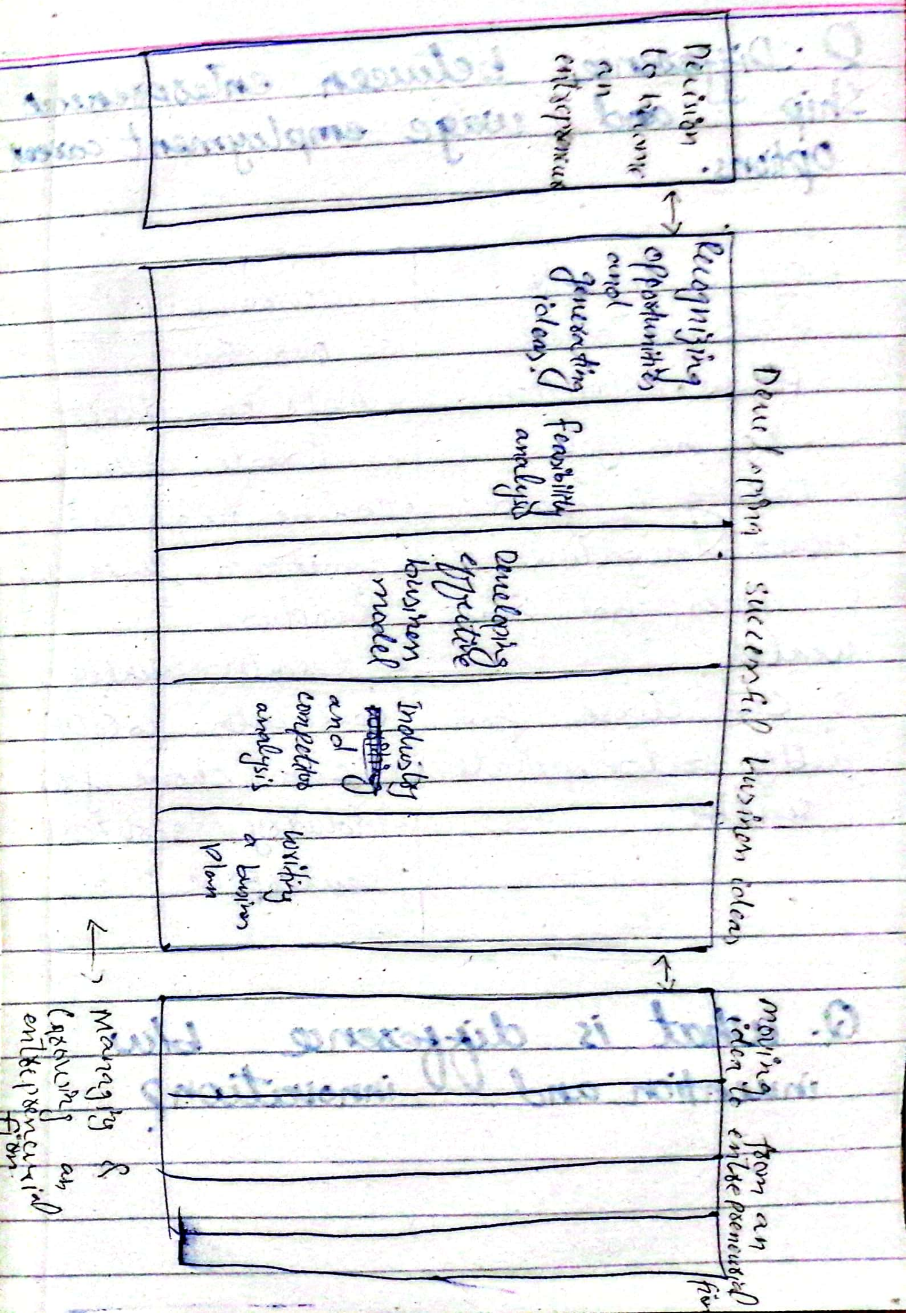
- Entrepreneurs identifies and acquires the financial, human and capital resources needed for the venture startup etc.
  - Hire employees
  - Apply for loans, grants and assistance
  - Identify potential investors

Actualization

- Entrepreneur operates the business and utilizes resources to achieve its goals / objectives.
  - $$ Grand opening $$
  - Day-to-Day operations

Harvesting

- Entrepreneur decides on business future growth / development, or demise
  - Will you go public?
  - What is your 5-year or 10-year Plan?



Q. Difference between entrepreneurship and wage employment career options.

Wage Employment	Entrepreneurship
o work for others	o own Boss
o Follow instructions	o make own plans
o Routine job	o Create activity
o Earning is fixed, never negative	o Can be negative sometimes, generally surplus
o Does not create wealth.	o Creates wealth, contributes to GDP
o Can choose from public sector, private sector.	o can choose from industry service enterprise

Q. What is difference b/w invention and innovation?

Invention:

o Can be defined as the creation of a product or introduction of a process for the first time.

Innovations:

o Innovation on the other hand occurs if sometimes improves on or makes a significant contribution to an existing products, process or service.

Types of innovation:

Invention: Totally new product, service, or process

ex:

o Wright brothers - airplan
o Alexander Graham Bell - telephone

Extension:

New use or different application of an already existing product, service or process

- development from the mainframe computer to the desktop.

Duplication:
e.g The adaption of the franchise from the fast food industry to the education industry.

=> Creative replication of an existing concept.

Synthesis:
=> Combination of existing concepts and factors into a new formulation or use.
e.g
The fax machine
telephone + photocopier = fax

Q. How entrepreneurs think?
=> Entrepreneurs in particular situations may think differently when faced with a different task or decision environment.
=> Entrepreneurs often think in innovative and solution-oriented ways.
=> Given the nature of their decision-making environment, entrepreneurs need to sometimes:
- Effectuate
- Be cognitively adaptable
- Learn from failure
- Think strategically

Causal process:
- Starts with a desired outcome
- Focuses on the means to generate that outcome.

Effectuation process:
- Starts with what one has (who they are, what they know, and whom they know).
- Selects among possible outcomes.

being able to quickly understand things, making decision fast and getting things done, especially when things are uncertain or tough.

=> Entrepreneurial mind-set involves the ability to rapidly sense, act, and mobilize, even under uncertain conditions. - It is about being proactive and resourceful in finding solutions to problems, even when the situation is uncertain.

=> Cognitive adaptability describes the extent to which entrepreneurs are:

- Dynamic, flexible, self-regulating and engaged in the process of generating multiple decision frameworks focused on sensing and processing changes in their environments and then acting on them. Entrepreneurs can easily change their plans and being engaged in finding different ways to make decisions when things change.

=> It reflects in an entrepreneur's metacognitive awareness.

It shows: Entrepreneurs are aware of how they think and are always ready to adjust their plans based on what's happening around them.

Achieving cognitive adaptability

- Comprehension questions (Questions designed to increase entrepreneurs understanding of the nature of the environment?)
- Connection tasks
- Strategic tasks
- Reflection tasks

Connection tasks

- Stimulates thinking about the current situation in terms of similarities and differences with situations previously faced and solved. - It is like comparing what happening now to what you've seen or dealt with before.
- A connection task Trigger/Prompt you to think about how the current situation is similar to or different from past situations you've encountered and solved.

Strategic tasks:

- Stimulates thoughts about which strategies are appropriate for solving the problem (and why) or pursuing the opportunity (and how). - It is about considering different strategies and deciding which approaches are the best for solving a problem or taking advantage of an opportunity. Think which (smartest) way to tackle the problem.

Reflection tasks:

- Stimulates thinking about their understanding and feelings as they progress through the entrepreneurial process. - It is like taking a mental break to think about what you've learned and how you feel while working on your business idea. It is about stopping a moment and asking yourself "what could I improve?" "what did I do well?"

Q. How entrepreneurs increase cognitive adaptability?

=> Entrepreneurs who are able to increase cognitive adaptability have an improved ability to:

- Adapt to new situations
- Be creative.
- Communicate one's reasoning behind a particular response.

Think about our thinking

Q. How entrepreneurs think?

- Effectuation
- Cognitive adaptability
- Learning from business failure
- Recovery and learning process
  - Loss orientation and restoration orientation.
- A dual process for learning from failure.
  Engage in bricolage

Q. Why become an entrepreneur?

⇒ The three primary reasons that people become entrepreneurs and start their own firms

- Desire to be their own boss
- Desire to pursue their own ideas
- financial rewards.

Q. Characteristics of successful entrepreneurs?

(1) Passion for the Business:

- The number one characteristic shared by successful entrepreneurs is a passion for the business.

⇒ This passion typically stems from the entrepreneur's belief that the business will positively influence people's lives.

2) Product Customer/focus:

- A second defining characteristic is a product customer/focus.
- An entrepreneurs keen focus on products and customers typically stems from the fact that most entrepreneurs are at the heart craftpeople.

3) Tenacity despite failure:

- Because entrepreneurs are typically trying something new, the failure rate is naturally high.
- A defining characteristic for Successful entrepreneurs is their ability to preserve through setbacks and failures.

(iv) Execution intelligence:

- The ability to fashion a solid

business idea into a viable business is a key characteristic of successful enterpreneur's.

Common Myths about Enterpreneur

⇒ Common myths about enterpreneur
- From literature
- from enterpreneur's personal experience

(1) Enterpreneurs are born and they can not be made.
(2) Enterpreneurs are very high risk takers / Gambler.
(3) Enterpreneurs are primarily motivated by money.
(4) Enterpreneurs are overwhelmed by their own ideas and do not listen to the advice.
(5) Enterpreneurs are high tech wizards.
(6) Enterpreneurs love the spotlight.

(7) Enterpreneurs are must be inventors because they are innovators.

(8) You don't need to earn degree if you want to be an enterpreneur.

(9) if you don't have money, you can't be an enterpreneur.

(10) Enterpreneurs are usually young, super genius and super energetic.

Start-up firm and types

Start-ups:

- A startup is a company created by an entrepreneur to develop a new product or service.
- Early stage of big business.
- Initial days of business and how to execute the business.
- All entrepreneurs start a company with the ambition of making it big.

Types of start-up

(1) Lifestyle startup: → These firms are not innovative, nor do they grow quickly.

Def: Created by lifestyle entrepreneurs who turn their lifestyle into a business opportunity.

- build firm for their all life work.

Example:

- Musician teaching guitar to underprivileged youth.
- Travel blogger documenting personal trips.

→ Lifestyle firms include personal trainers, golf and tennis pros, owners of bed and breakfast and tour guides.

focus:

- Goal is to spread the founder passion.
- Stem from the entrepreneur's passion rather than profit.

ii) Small Business startups:

Def:

Simple businesses where individuals work for themselves instead of a traditional company.

Examples:

- Handymen
- Personal trainers
- Boutique owners

Purpose:

- main goal how to feed their family.
- Intended to provide financial compensation to the owner.
- Business is the owners source of income.

(iii) Scalable startup:

Def:

- Hire huge amounts of genius
- Huge companies aiming to dominate the market

Ex:

- Uber, Facebook, Google

Concept:

- Begin with a unique and scalable idea.
- Goal is to compete with the companies

Objectives:

- Search for high grow and high profit
- Offer innovative solutions.

Requirements:

- Require large investments and capital.

(iv) Buyable Startups:

Def:

- Aim to attract larger companies for acquisition.
- Not for long run.
- give or sell to the larger companies.

popularity:

- Increasing in recent years.

Characteristics:

- Require less capital compared to scalable startups.
- Sold off at peak value.

(v) Large Company startups:-

Def:

Large companies that start small and expand by offering new products and services.

Charateristics:

- Building on an existing company rather than creating a new one.
- Continuously bring innovation.

Example:

- Apple started with computers but now offers ipads, Apple music, Apple TV, iCloud and Apple Card.

(vi) Social startup:

Def:

- Aim to make difference in the world.
- Same like scalable but main goal to hire/help people.

Ex:

- Ben & jerry's ice cream focusing on prison reform.

Focus:

Solely oriented towards improving the world in some way.

Approach:

CSR interested in making difference.

Categories of starts-up

Product based

SaaS (Software as a service).

Entrepreneurial startup:

⇒ bring new products and services to market.

⇒ By creating and opportunities regardless of the resources they currently control.

Salary - substitute firms:

⇒ Firms that basically provides their owner or owners a similar level of income to what they would be able to earn in a conventional job.

e.g; Dry cleaners, Convenience stores, restaurants, accounting firms, retail stores and hairstyling salons.

Ch#1

Nature of Entrepreneurship

Q. Define entrepreneurial opportunity?

⇒ Opportunity is defined as a situation that enables an entrepreneur to offer marketable products or services to interested buyers or end users.

⇒ Entrepreneurial opportunities are defined as:

• "Situations in which new goods, services, raw materials and organizing methods can be introduced and sold at a price that is greater than their cost of production." (Carson, 1982)

⇒ "A situation in which an individual identifies a venture that is attractive, durable, timely, and grounded in a product or service that delivers value to a customer". (Armstrong)

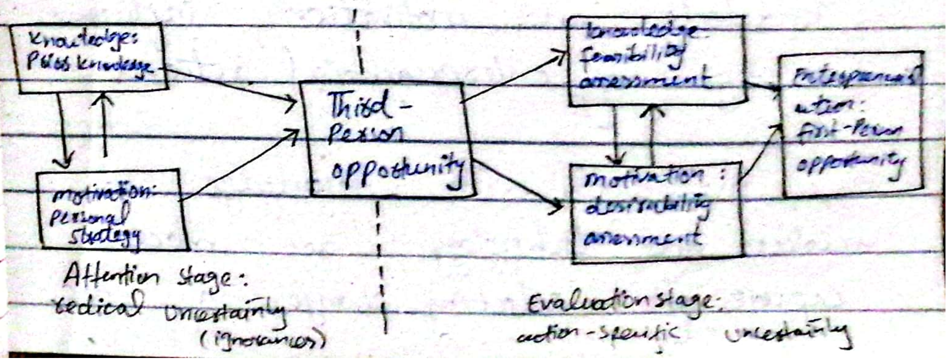
Q. Define entrepreneurial action?

⇒ Entrepreneurial action is defined as:

"Behavior in response to a judgmental decision under uncertainty about a possible opportunity for profit."

Opportunity = chance of being 'successful / Profit'
↑
Decision (choice b/w more than two alternatives)
↑
Individual
↓
Under condition of uncertainty

Model: (McMullen-Shepherd)



⇒ Entrepreneurial action are the action through the creation of new products / processes and/or the entry into new markets, which may occur through a newly created organization or within ~~the~~ an established organization

⇒ Entrepreneurs act on what they believe in an opportunity.
⇒ Because opportunities exist in high certainty, entrepreneurs must use their judgment about whether or not to act.
⇒ However, doubt can undermine entrepreneurial action.

McMullen model explains how?
⇒ knowledge and motivation influence two stages of entrepreneurial action.

Stage 1:
○ Individuals with knowledge of markets and technology are more capable of detecting changes in the external environment.
⇒ And, if they are also motivated, they will allocate further attention of processing this information

Result:
○ The result of stage 1 is an individual realization that an opportunity exists for someone.

Stage 2:
○ This involves assessing whether it is feasible to successfully exploit the opportunity given's one knowledge
○ whether it is desirable given one's motivation.
In other words,
⇒ Does this opportunity for someone (third-person opportunity belief) represent opportunity for me (first-person belief)

⇒ Individual may act if he overcomes enough doubt to form:

⇒ the belief that the opportunity for someone is an opportunity.

Q. Define entrepreneur mindset?

⇒ Involves the ability to rapidly sense, act and mobilize, even under uncertain conditions.

Q. Difference b/w Superficial similarities and Structural Similarities?

Superficial Similarities:

- Exists when the basic (relatively easy to observe) element of the Technology resemble (match) the basic elements of the market.

Structural similarities:

- Underlying mechanisms of the Technology resemble the underlying mechanisms of the market

Q. What are entrepreneurial actions:

⇒ Entrepreneurial action:

- Involves creation of new product or processes.
- Involves entry into new market?
- what are new products/services?
- what are new Processes?
- what are new markets?
- who are entrepreneurs?

Q. Who are Role models and Support Systems?

Role models:

- Individuals whose example an entrepreneur can aspire to and copy. can be Parents, family members, or others.

⇒ Moral Support Network:-

Individuals who give Psychological Support to an enterpreneur. e.g. can be friends.

⇒ Professional Support Network:-

Individuals who help the enterpreneur in business activities.
- Can be mentors, suppliers, Business associates.

Define Bricolage? - Entrepreneurs do by :~~app~~ mak...

• Applying Combinations of the resources at hand to new Problem and opportunities.

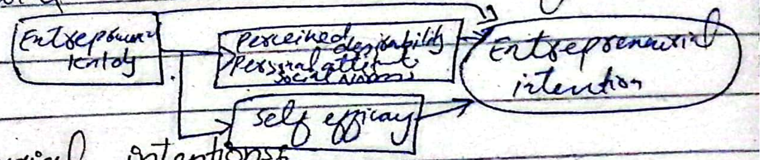
• Taking existing resources and experimenting, tinkering and/or reframing them so they can be used in new ways.

○ Entrepreneurs do not wait for all resources.

Entrepreneurs often lack resources they can seek from others to provide the "slack" necessary to experiment.

The Intention to Act Entrepreneurially:

⇒ Entrepreneurial action is most often intentional.



1. Entrepreneurial intentions:

○ The motivational factors that influence individuals to pursue entrepreneurial outcomes. تعاقب کرنا

⇒ it refers to the plans, motivations and aspirations individuals have towards starting their own business ventures or becoming entrepreneurs.

⇒ They are like thoughts and dreams people have about starting their own businesses.

⇒ it's about wanting to create something new, take risks, and turn ideas into reality.

⇒ Intentions are:

○ Indications of how hard people are willing to try

○ And how much effort

they are planning to exert to perform the behavior.

=> Individuals have stronger intentions. where-
Taking action is perceived / viewed to be achievable / feasible and desirable / enviable / attractive.

2. **Entrepreneurial self-efficacy:**
→ perceived feasibility

=> Refers to the conviction that one can successfully execute the behavior required.

=> Refers to individual's belief in their own abilities to successfully perform entrepreneurial tasks and activities.
=> it's about feeling confident and capable in starting and managing a business, overcoming challenges and achieving success as an entrepreneur.

=> High self-efficacy leads to increased initiatives and Persistence / determination / resilience
→ improve the overall performance.

=> Low self-efficacy reduces effort and performance.

=> People with high-self-efficacy think differently and behave differently than people with low self-efficacy.

=> Self efficacy affects the Person's choice of action and the amount of effort exerted.

3. Perceived desirability:
=> refers to an individual's attitude toward entrepreneurial action.

=> The degree to which an individual has a favorable or unfavorable evaluation of the potential entrepreneurial outcomes

⇒ How much someone likes or dislikes the possible results of starting a business.

⇒ it's about whether they think it's a good idea or a bad idea.

for example:

- People usually stick to what they know because it feels safe & comfortable.
- But when they see a chance to do something new and creative, they will only take that chance if they think it will bring them more personal rewards that they value more than sticking to what they already know are used to.

⇒ Therefore, the higher the perceived desirability and feasibility, the stronger the intention to act entrepreneurially.

Entrepreneurs background and Characteristics education:-

Only few background characteristics have differentiated the entrepreneurs from the general managers:

1. Education:

⇒ Entrepreneurs need to learn general education, since an entrepreneurs need to have the knowledge, skills and strategic ability to solve a problem and apply these teachings in in managing their businesses.

2. Age:

⇒ It is important to differentiate between entrepreneurial age (The age of the entrepreneurs reflected in his or her experience) and chronological age (years since birth).

⇒ Most entrepreneurs initiate their entrepreneurial careers between the ages of 22 and 45.

A career can be started before or after these ages.

⇒ The entrepreneur should have the necessary experience and financial support and the high energy level needed to launch and manage a new venture succesfully.

⇒ Male entrepreneurs tend to start their ventures in their early 30s

⇒ While women entrepreneurs do so in their middle 30s.

3. Work History:

⇒ The decision to launch a new venture can be influenced by:

- Dissatisfaction with ones job.
- Previous technical and industry experience.

⇒ Managerial Skills and entrepreneurial experiences are also important once the venture starts growing.

⇒ Previous start-up experience is a relatively good predictor of starting subsequent businesses.

⇒ The work history of an entrepreneur can influence his or her decision on wether he or she should start a new venture.

⇒ Entrepreneurial experience is important because being exposed to different cases in managing the new venture allows them to be more knowledgeable since they can apply their work experience in dealing with future problems of the new venture.

Key Elements in Entrepreneur's Background

- ✓ Supportive childhood family environment
- ✓ Having a father who is self-employed helps.
- ✓ Education is important
- ✓ Aged 22-45 when starting venture.
- ✓ Work history :- dissatisfied with company job but has technical knowledge.